

Lender Underwriting Narrative

Rivergate Apartments | Committee Discussion Draft

Deal Summary

Requested senior loan proceeds are sized to a 1.31x underwritten debt service coverage ratio and 66.5% loan-to-value against the concluded appraisal value of \$11.85 million. Underwritten NOI is slightly below trailing NOI to account for replacement reserves, normalized payroll burden, and an assumed tax reset.

The asset benefits from stable occupancy, demonstrated rent growth, and manageable deferred maintenance. Primary credit concerns are tenant affordability pressure if concessions return, tax and insurance volatility, and a moderate concentration of lease expirations in summer 2026.

Metric	Underwritten
Appraised Value	\$11,850,000
LTV	66.5%
Loan Amount	\$7,880,000
Underwritten NOI	\$612,400
Debt Service	\$467,100
DSCR	1.31x

Why This Matters For Chatbot Answers

Questions about financeability should use underwriting NOI, DSCR, and LTV from this memo rather than appraisal NOI. Questions about market value should prioritize the appraisal report. Questions about operational upside should cite the rent roll and market comp documents. In short, different document types carry different evidentiary weight depending on the user query.

A robust retrieval layer should surface these distinctions instead of blindly stuffing semantically similar text into the model context.